

FOREIGN EXCHANGE, FDI, EXTERNAL DEBT — FULL MIND MAP

Topic-wise · Fully Explained · Hinglish · SSC / BPSC / BSSC / Railway

Topics in this chapter:

1. Exchange Rate Basics & Rupee Convertibility
2. Devaluation — Meaning, History & Effects
3. International Liquidity, Currency Crisis & BoP Defence
4. FDI — Sector-wise & State-wise Inflows
5. Portfolio Flows, Hot Money & Tobin Tax
6. FDI/FII Basics, Sources, P-Notes & Sectoral Policy
7. External Debt, Debt Trap & External Commercial Borrowing
8. Green Bonds, NRI Bonds, Masala Bonds & Oil Pool Account
9. Foreign Exchange Reserves & Import Cover
10. NEER/REER, Exchange Value, Appreciation & Depreciation
11. Euro, Eurodollar & Important World Currencies
12. FEMA, FERA & Foreign-Exchange Regulation
13. Hawala, PMLA & Money Laundering
14. Monetary Trade Cycle & External-Sector Linkages

1. Exchange Rate Basics & Rupee Convertibility

- Flexible exchange rate market forces, yani demand aur supply, se determine hota hai; monetary authorities exchange rate ko influence karne ke objective se intervene nahi karti. [Q1]
- Rupee convertibility ka matlab hai ki rupee ko foreign currencies mein aur foreign currencies ko rupee mein freely convert kiya ja sake. Full convertibility current aur capital dono accounts par restrictions hata deti hai, jisse foreign-capital inflow/outflow aasaan hota hai. [Q2]
- Rupee convertibility ka matlab hai rupee ko major foreign currencies mein aur foreign currencies ko rupee mein freely convert kar pana. [Q3]
- Rupee current-account ke sabhi transactions ke liye foreign currency mein convertible hai. [Q4]
- Indian rupee ko current account par fully convertible 1994 mein banaya gaya. [Q5]
- Indian rupee current account par 1994 se fully convertible hua. [Q6]
- Indian rupee August 1994 se current account par convertible hua. [Q7]
- March 1994 se rupee current account par convertible hua. [Q8]
- Union Budget 1992-93 mein us waqt ke Finance Minister Dr. Manmohan Singh ne Liberalized Exchange Rate Management System (LERMS) announce kiya tha. [Q9]
- Rupee convertibility ka matlab rupee ko foreign currencies mein aur foreign currencies ko rupee mein bina intervention freely convert kar pana hai. Current aur capital account par full convertibility ka matlab foreign capital ke India mein inflow aur outflow par restriction na hona hai. [Q10]
- Indian rupee current account par fully convertible hai; capital account par full convertibility nahi hai aur gold mein full convertibility bhi applicable nahi hai. [Q11]
- Capital-account convertibility ka matlab financial assets ke liye Indian rupee ko market-determined exchange rate par major foreign currencies mein bina restriction exchange kar pana hai; ismein funds/financial assets ka country mein inflow aur outflow include hota hai. [Q12]
- Capital account mein foreign loans, FDI aur portfolio investment jaise flows include hote hain; private remittances capital account ka part nahi hoti. [Q13]
- 20 March 2006 ko RBI ne former Deputy Governor S. S. Tarapore ki chairmanship mein six-member committee banayi thi, jiska kaam rupee ki full capital-account convertibility ke liye roadmap tayyar karna tha. [Q14]
- Indian rupee ki full capital-account convertibility examine karne ke liye Tarapore Committee constitute ki gayi thi. [Q15]

EXAM TRAP — Current vs Capital Account Convertibility

- ▶ Current-account convertibility aur capital-account convertibility alag concepts hain. Rupee current account par 1994 se fully convertible hai, jabki full capital-account convertibility ko Tarapore Committee ne examine kiya.
- ▶ Liberalized Exchange Rate Management System (LERMS) ka announcement Union Budget 1992-93 mein hua; ye 1991 BoP crisis ke baad exchange-rate reform ka transitional step tha.

[Q2–Q15]

2. Devaluation — Meaning, History & Effects

- Devaluation mein government domestic currency ki foreign currencies ke against official value kam karti hai. Indian rupee ka devaluation 1949, 1966 aur 1991 mein hua; 1991 mein two-step devaluation kiya gaya tha. [Q16]
- Kisi currency ki value ka other countries ki currencies ke comparison mein kam hona currency-value decline ko show karta hai. [Q17]
- India mein rupee ka first devaluation 1949 mein hua. [Q18]
- 1991 mein first devaluation 1 July ko aur second devaluation 3 July ko hua tha. [Q19]
- Indian rupee ka two-stage devaluation 1991-92 financial-year context mein hua. [Q20]
- Devaluation ka major effect ye hai ki country's exports relatively cheaper ho jaate hain aur foreign markets mein domestic exports ki competitiveness improve hoti hai. [Q21]

- Devaluation se domestic currency ki value foreign currencies ke comparison mein girti hai; exports cheaper aur imports costlier ho jaate hain. Isliye generally exports badhte aur imports ghatte hain. [Q22]
- Devaluation external value of currency ko reduce karke balance-of-payments adjustment mein help kar sakta hai. [Q23]
- Currency devaluation generally exports ko competitive banati aur imports ko costlier banati hai, isliye exports badhne aur imports ghatne ka pressure banta hai. [Q24]
- Devaluation/depreciation ke baad imports costlier aur exports relatively cheaper ho jaate hain. [Q25]
- Devaluation mein country ki currency ki external value reduce ki jaati hai; Balance of Payments mein fundamental disequilibrium hone par trade balance aur external position improve karne ke liye ye policy use ki ja sakti hai. [Q26]
- Devaluation importing country mein deflation cause nahi karta; imports costly hone se general price level badh sakta hai. [Q27]
- 1991 reforms ke baad export growth mein substantial rise hua aur devaluation ne export competitiveness improve karne mein role play kiya. Devaluation episodes ko unke historical period ke saath hi read karna chahiye. [Q28]

EXAM TRAP — Devaluation vs Market-led Depreciation

- ▶ Devaluation currency ki official value reduction hoti hai; India ke major episodes 1949, 1966 aur 1991 se linked hain. 1991 mein devaluation two-step process mein hua.
- ▶ Market forces se exchange rate Rs.60/\$ se Rs.65/\$ ho jaaye to rupee depreciation hota hai; appreciation iska opposite hai.

[Q16–Q28, Q114–Q116]

3. International Liquidity, Currency Crisis & BoP Defence

- International liquidity mein central bank ke internationally acceptable reserve assets—hard currencies, gold, SDR holdings aur other reserve assets—include hote hain. Inka use BoP deficit manage karne mein hota hai. [Q29]
- Late 1990s ke Southeast Asian crisis mein Indonesia, Thailand, Malaysia aur South Korea ki local currencies ka Western currencies ke comparison mein long-term overvaluation major cause tha; monetary mismanagement aur currency speculation ne crisis ko aur badhaya. [Q30]
- 1997-98 Southeast Asian crisis mein in countries ki currencies ki value gir gayi; Indian exports inke products se compete karte the, isliye currency fall ka India ke exports par adverse impact pada. [Q31]
- Future global financial crisis ke against short-term foreign debt par kam dependence India ko protection de sakti hai; foreign-bank exposure badhne se global-financial risk bhi badh sakta hai. [Q32]
- Currency crisis tab hoti hai jab fixed exchange rate ko forex reserves ke support se maintain karne ki central bank ki capacity par serious doubt ho. Ye situation usually severe BoP deficit aur inadequate reserves ke time dikhti hai. [Q33]
- Rupee ko strengthen karne ke measures mein non-essential imports control karna, exports promote karna, Masala Bonds issue karna aur ECB conditions ease karna shamil ho sakta hai. Expansionary monetary policy money supply badha kar interest rates ghata sakti hai, jisse currency weak aur inflation/forex outflow badh sakta hai. [Q34]
- BoP position improve karne ke liye import substitution, rupee devaluation aur imports par higher tax useful ho sakte hain; exports par higher tax exports ko discourage karke BoP ko worsen kar sakta hai. [Q35]
- Current Account Deficit (CAD) tab hota hai jab goods, services aur unilateral transfers ko mila kar current-account payments receipts se zyada ho jayein. Domestic currency ka devaluation exports ko support aur imports ko discourage karke CAD kam karne mein help kar sakta hai. [Q36]

4. FDI — Sector-wise & State-wise Inflows

- Cumulative FDI inflows mein Services sector leading sector raha; telecommunications older-period comparisons mein top sector tha. [Q37]
- Earlier period mein Services sector India ka highest FDI-equity-inflow sector tha. [Q38]
- Earlier FDI data mein Services sector top inflow sector tha. [Q39]
- 2007-08 mein services sector ko India mein largest direct foreign-capital inflow mila. [Q40]
- Relevant decade mein Services sector ne compared sectors mein highest FDI inflow attract kiya. [Q41]
- 1997-2000 aur updated cumulative period mein India ke FDI inflows mein services sector ka share sabse bada raha; sector-wise inflows ko US\$ million terms mein compare kiya jata hai. [Q42]
- April 2000-December 2025 ke cumulative FDI data mein leading sectors ka order tha: Services > Computer Software & Hardware > Trading > Telecommunications > Automobile Industry. [Q43]
- April 2000-December 2025 tak FDI inflow approx Hotels & Tourism US\$18,930.76 million, Hospitals & Diagnostic Centres US\$12,726.93 million, Textiles US\$5,017.15 million aur Leather-related sector US\$396.42 million raha. [Q44]
- April-September 2022 mein listed states mein Karnataka ko highest FDI equity inflow mila. 2024-25 mein leading states/UTs Maharashtra, Karnataka, Delhi, Gujarat, Tamil Nadu the; April-December 2025-26 mein order Maharashtra, Karnataka, Gujarat, Tamil Nadu, Haryana raha. [Q45]
- Updated figures mein the services sector attracted the highest FDI equity inflow in Bihar. [Q46]

5. Portfolio Flows, Hot Money & Tobin Tax

- 2005-06 mein India ke foreign-exchange inflow ka major source portfolio investment tha. RBI ke 27 June 2025 release mein forex reserves ke change ke updated sources ko US\$ billion mein report kiya gaya. [Q47]
- Foreign portfolio investment aur NRI deposits interest-rate differentials se attract hote hain; investors ka main objective in differences se return/profit earn karna hota hai. [Q48]
- Rapid movement wali foreign currency funds ko hot money kaha jaata hai. Investors short-term interest-rate differential aur exchange-rate changes se gain ke liye in funds ko countries ke beech quickly shift karte hain. [Q49]

- Tight monetary policy mein central bank interest rates badhakar money supply ko control karta hai. Rapid inflation ke time aisi policy inflationary pressure ko kam karne ke liye use hoti hai. [Q50]
- James Tobin ne 1972 mein currency-market transactions par ek chhota tax propose kiya tha, jise Tobin Tax kaha jata hai. Iska objective sharp foreign-exchange fluctuations ko discourage karna tha. [Q51]

6. FDI/FII Basics, Sources, P-Notes & Sectoral Policy

- FDI mainly non-debt-creating capital flow hai. Listed Indian company mein fully diluted paid-up equity capital ka 10% ya usse zyada investment, ya unlisted Indian company ke capital instruments mein non-resident investment, FDI category mein aata hai. [Q52]
- Foreign company ka another country mein subsidiary establish karna, foreign majority equity holding aur completely foreign-financed company direct investment ke forms hain. [Q53]
- Non-resident foreign deposits FDI ka part nahi hote; baaki listed investment items FDI ke under include hote hain. [Q54]
- FCNR(A), jo 1975 se exist karta tha, discontinue karke 15 May 1993 se FCNR(B) se replace kiya gaya. [Q55]
- East Asian aur Latin American crises mein excessive foreign portfolio investment ek major factor tha, kyunki portfolio flows highly volatile hote hain; FDI comparatively stable hota hai aur long-term development mein zyada useful hota hai. [Q56]
- FII broad capital availability badhata hai, jabki FDI specific sectors mein aata hai. FDI relatively permanent hota hai aur management skills/technology transfer bhi la sakta hai; FII ka focus mainly capital flow aur secondary market par hota hai. [Q57]
- Foreign pharmaceutical company ke bonds ya stocks purchase karna FDI nahi, portfolio-type investment hai; direct ownership/control wale cases FDI ke forms hote hain. [Q58]
- Participatory Notes (P-notes) domestic market mein indirectly invest karne ka instrument hain. SEBI-registered foreign institutional/portfolio investors inhe un foreign clients ko issue karte hain jo Indian market mein directly register nahi karte. [Q59]
- P-notes SEBI-registered Foreign Portfolio Investors foreign investors ko issue karte hain, jisse wo direct registration ke bina Indian stock market mein participate kar sakte hain. [Q60]
- Union Budget 2020-21 mein outstanding corporate bonds mein portfolio-investment limit 9% se badha kar 15% ki gayi; FY 2024-25 tak ye limit 15% hi rahi. [Q61]
- Recent FDI data mein Singapore leading source country hai; earlier periods mein Mauritius top source raha. [Q62]
- April 2000-December 2025 cumulative FDI data mein Singapore leading source country tha; Mauritius historically major source raha hai. [Q63]
- 1991-95 mein India mein highest FDI lane wale major countries USA aur Japan the; December 2025 tak ke 2023-24 aur 2024-25 comparison mein bhi USA-Japan relevant pair raha. [Q64]
- Earlier period mein Mauritius major FDI source tha; 2023-24 aur 2024-25 mein Singapore India ka largest FDI source raha. [Q65]
- India-Mauritius Double Taxation Avoidance Agreement (DTAA) Mauritius-route FDI ka major reason raha. Investors low-tax Mauritius route use karke India mein investment par tax benefit lete the. [Q66]
- April-March 2023-24 aur 2024-25 mein Singapore India ka largest FDI source raha. India-Mauritius tax treaty ke 2016 amendment ke baad preferential benefits 2017-18 se 2019-20 ke beech phase out hue. [Q67]
- Economic Survey 2023-24 ke context mein global FDI slowdown ka impact India par bhi pada; net FDI inflow FY2023 ke US\$42.0 billion se ghatkar FY2024 mein US\$26.5 billion hua. [Q68]
- India-USA Foreign Account Tax Compliance Act (FATCA) agreement 9 July 2015 ko sign hua aur 30 September 2015 se effective hua. [Q69]
- Government of India ki tea-sector policy mein foreign firm ko five years ke andar 26% equity Indian partner ke favour mein divest karni thi. [Q70]
- Calendar year 2005 mein FIIs ka net capital investment lagbhag US\$10.7 billion tha. Updated NSDL data FPI net investment ko US\$ million mein show karta hai. [Q71]
- January 2003 mein Foreign Investment Promotion Board (FIPB) ko President ke order se Department of Economic Affairs, Ministry of Finance mein transfer kiya gaya; baad mein FIPB abolish kar diya gaya. [Q72]
- Single-brand retail mein FDI 2006 se permitted hai, jabki multi-brand retail mein 2012 se permission mili. Online retail of goods/services mein 100% FDI automatic route se permitted ki gayi. [Q73]
- Consumer Protection (E-Commerce) Rules, 2020 mein e-commerce entity wahi person/entity hai jo electronic-commerce platform own, operate ya manage kare; apne hi goods/services sell karne wala seller is definition mein include nahi hota. [Q74]
- Insurance sector mein FDI limit 26% se 49% badhane ka proposal October 2012 mein aaya; 2015 Act ke baad automatic route ke under limit 49% ho gayi. [Q75]
- Budget 2021-22 mein insurance-sector FDI limit 49% se 74% ki gayi. Union Budget 2025-26 mein ise 74% se 100% tak raise karne ka announcement hua. [Q76]
- August 1991 ke Small-Scale Industries Policy Statement mein small-scale industries ke liye foreign capital investment limit 24% rakhi gayi thi; later MSME sector mein automatic route ke under limit 100% tak badhayi gayi. [Q77]

EXAM TRAP — FDI Data is Period-specific

- ▶ FDI rankings period-specific hoti hain; historical aur current figures ko alag rakho, updated ranking ko older period par apply mat karo.
- ▶ Mauritius/Singapore source-country data, sector-wise inflows aur state-wise inflows ko exact year/period ke saath read karna zaroori hai.

[Q37–Q46, Q62–Q68]

7. External Debt, Debt Trap & External Commercial Borrowing

- Debt trap tab hota hai jab outstanding debt ka interest chukane ke liye country ko naya loan lena pade. [Q78]
- End-2010 tak India ka external debt US\$300 billion cross kar chuka tha. December 2025 release ke hisab se end-September 2025 par external debt US\$746 billion tha, jo end-June 2025 ke US\$746.7 billion se US\$0.7 billion kam tha. [Q79]

- India ke external debt ka major part non-government entities ka hai. End-September 2025(P) par total external debt US\$746 billion tha—government debt US\$168.8 billion aur non-government debt approx US\$577.2 billion. [Q80]
- 2017 ke context mein commercial credit external debt ka major component tha; end-September 2025 mein loans sabse bada component the—US\$258.3 billion, yani total external debt ka 34.6%. [Q81]
- Commercial borrowings aur NRI deposits badhne se external debt increase ho sakta hai; end-September 2025(P) ke data mein loans external debt ka largest component the. [Q82]
- End-September 2023 par India ka external debt US\$635.3 billion, GDP ka 18.61% tha; end-December 2023 par US\$648.2 billion, GDP ka 18.7% tha. [Q83]
- India mein External Commercial Borrowing (ECB) ko RBI regulate karta hai. [Q84]
- Older listed order Russia, China, Turkey, Brazil, India tha. September 2025 'India's External Debt: A Status Report 2024-25' ke end-December 2024 data mein highest gross external-debt stock wale five countries USA, UK, France, Germany aur Japan the. [Q85]
- Gross external-debt stock ke basis par USA sabse heavily indebted country raha. End-December 2024 ranking mein USA ke baad UK, France, Germany aur Japan the. [Q86]
- External debt ki size aur composition ke basis par India ko less-indebted country category mein treat kiya gaya; September 2025 ki 'India's External Debt: A Status Report 2024-25' mein India world ke top 20 debtor countries ki list se bahar tha. [Q87]
- India's External Debt: A Statistics Report 2024-25 ke end-December 2024 data mein emerging/developing economies ke top five external-debt holders China, Brazil, India, Mexico aur Türkiye the. Inmein listed comparison mein Brazil ka debt sabse zyada tha. [Q88]
- US government ka debt default payment obligations ko time par meet na kar pana hota hai; isse US Treasury bondholders ke legal claims automatically cancel nahi hote. [Q89]
- 2001 mein India ne Tajikistan ko drought situation se deal karne ke liye five lakh million dollars dene ka proposal diya tha. [Q90]
- 2001 mein German Chancellor Gerhard Schröder ne Uttarakhand ke Tehri Dam project ke liye US\$32 million loan sanction kiya tha. [Q91]

EXAM TRAP — External Debt: Stock, Component & Ratio

- ▶ External debt ka stock, components aur debt-to-GDP ratio date/year-specific hote hain; historical aur later figures ko mix mat karo.
- ▶ Debt trap ka core concept: old outstanding debt ka interest pay karne ke liye naya borrowing karna pade.

[Q78–Q89]

8. Green Bonds, NRI Bonds, Masala Bonds & Oil Pool Account

- Green Bonds environment-friendly projects—renewable energy, clean transport, sustainable water management—ko finance karne ke liye earmarked bonds hote hain. First major green bonds European Investment Bank ne 2007 aur World Bank ne 2008 mein issue kiye. [Q92]
- State Bank of India ne NRI aur foreign corporate bodies se forex raise karne ke liye 21 October 2000 ko India Millennium Deposits launch kiya; scheme 15 din open rahi aur 5-year deposits dollars, pounds sterling aur euros mein accept hue. [Q93]
- SBI ne 5 August 1998 ko five-year maturity wale Resurgent India Bonds US dollar, pound sterling aur Deutsche Mark mein issue kiye. [Q94]
- Masala Bonds se Indian institutions foreign markets se foreign currency ki jagah rupee-denominated funds raise kar sakte hain. July 2016 mein HDFC London Stock Exchange par Masala Bond issue karne wali first Indian company bani. [Q95]
- Masala Bond India ke bahar rupees mein issue hone wala corporate bond hai. IFC Masala Bond International Finance Corporation issue karta hai, jo World Bank Group ka part hai. [Q96]
- Oil-sector Administered Price Mechanism aur Oil Pool Account 1 April 2002 se abolished hue. [Q97]

9. Foreign Exchange Reserves & Import Cover

- Import cover batata hai ki country's international reserves kitne months ke imports finance kar sakte hain. Economic Survey 2025-26 mein forex reserves 16 January 2026 tak US\$701.4 billion the, end-March 2025 ke US\$668.3 billion se higher. [Q98]
- End-December 2024 tak India ke foreign-exchange reserves lagbhag US\$640.3 billion the, jo end-March 2024 se higher the; global ranking fourth thi, seventh nahi. [Q99]
- Older rupee-value figure Rs.28,55,882 crore tha; RBI ke 27 February 2026 release mein 20 February 2026 ko India's forex reserves US\$723,608 million the. [Q100]
- March 2019 mein India ke forex reserves US\$412.9 billion the; 23 May 2025 ko reserves US\$692.7 billion the. [Q101]
- RBI weekly data ke hisab se 27 December 2024 ko end hue week mein India's foreign-exchange reserves US\$640.3 billion the; ise end-December 2024 ka official reserve level maana jata hai. [Q102]
- India ke forex reserves mein Foreign Currency Assets, Gold, Special Drawing Rights (SDR) aur IMF Reserve Position—chaar components include hote hain. [Q103]
- 28 March 2025 ko India ke forex reserves mein Foreign Currency Assets ka share sabse bada tha, uske baad Gold; SDR third aur IMF Reserve Position ka share sabse chhota tha. [Q104]
- Forex reserves ke four major components hain: Foreign Currency Assets, Gold, SDRs aur IMF Reserve Position. 20 February 2026 ke weekly data mein FCA largest component tha. [Q105]
- India ke forex reserves mein Foreign Currency Assets, RBI-held Gold, SDRs aur IMF Reserve Position include hote hain; external-sector strength assess karne mein reserves important indicator hain. [Q106]
- RBI ke foreign-exchange reserves mein Foreign Currency Assets (FCA), Gold, Special Drawing Rights (SDR) aur IMF Reserve Position include hote hain. [Q107]
- Tata Statistical Outline of India 2004-05 ke historical data mein 10 December 2004 ko India's forex reserves US\$129.7 billion the. [Q108]

EXAM TRAP — Forex Reserves: Components vs Dated Levels

- ▶ Foreign-exchange reserves ke four components hain: Foreign Currency Assets, Gold, SDRs aur IMF Reserve Position. FCA generally largest component hota hai.
- ▶ Forex-reserve levels date-specific hote hain; later reserve figure ko historical dated value ki jagah use mat karo.

[Q98–Q108]

10. NEER/REER, Exchange Value, Appreciation & Depreciation

- NEER aur REER external competitiveness ke indicators hain. NEER domestic currency ke bilateral nominal exchange rates ka weighted average hai; REER relative price differences se adjusted weighted exchange-rate index hai aur PPP concept se linked hai. [Q109]
- International market mein kisi country ki currency value determine karne mein World Bank ka direct role nahi hota; government stability aur country ke goods/services ki demand jaise factors currency value ko affect karte hain. [Q110]
- Raghuram Rajan ne high inflation, high fiscal deficit aur high crude-oil prices ko rupee ki exchange value affect karne wale key factors bataya. [Q111]
- Important dollar currencies: US Dollar, Canadian Dollar, New Zealand Dollar aur Hong Kong Dollar; inke rupee exchange rates date-specific hote hain. [Q112]
- 2002-06 exchange-rate series mein rupee pound sterling, euro aur yen ke against dono directions mein move hua, jabki US dollar ke against continuous strengthening dikhayi gayi. [Q113]
- Market forces se domestic currency ki value girti hai to depreciation hota hai; jaise Rs.60 per dollar se Rs.65 per dollar. Government ke official intervention se value kam ki jaye to devaluation kehte hain. Devaluation government-driven hota hai, depreciation market-driven. [Q114]
- Ek currency ki value doosri currency ke comparison mein badhe to appreciation kehte hain. Jaise 1 US dollar Rs.80 se Rs.75 ho jaye, to rupee appreciate hua kyunki ek dollar ke liye kam rupees chahiye. [Q115]
- Exchange rate $1\$ = \text{Rs.}60$ se $1\$ = \text{Rs.}58$ ho jaye to rupee dollar ke against appreciate karta hai aur dollar rupee ke against depreciate karta hai. [Q116]
- 1 March 2026 ko selected currency values mein 1 Euro approx Rs.107.63 aur 1 Pound Sterling approx Rs.124.12 tha; currency values date-specific hoti hain. [Q117]
- Jo currency circulation mein nahi hoti aur accounting purpose ke liye use hoti hai use artificial currency kaha ja sakta hai. SDR (Special Drawing Rights) IMF transactions mein use hone wali aisi accounting unit hai. [Q118]

11. Euro, Eurodollar & Important World Currencies

- Maastricht Treaty ke basis par European Union ki single currency Euro create hui; Euro formally January 1999 mein create hua aur notes-coins ke form mein January 2002 se circulation mein aaya. [Q119]
- European Monetary Union ki currency Euro hai. [Q120]
- Euro electronic form mein 1999 se issue hua aur 1 January 2002 se circulation mein aaya; current context mein EU ke 27 countries mein se 21 ne Euro adopt kiya hai. [Q121]
- Euro 1999 mein common currency ke roop mein introduced hua; euro notes aur coins 2002 mein circulation mein aaye. [Q122]
- Older euro-area composition mein 12 EU States included the. [Q123]
- Euro ab 21 European countries mein circulation mein hai. Britain, Sweden aur Denmark ne euro adopt nahi kiya; Croatia January 2023 mein 20th aur Bulgaria January 2026 mein 21st euro-area member bana. [Q124]
- Eurodollar ka matlab United States ke bahar—especially Europe—circulate/deposit hone wala US dollar hai. [Q125]
- Seychelles ki currency Seychelles Rupee hai; Bhutan ki Ngultrum, Malaysia ki Ringgit aur Maldives ki Rufiyaa hai. [Q126]
- Bangladesh ki currency Taka hai; Nepal ki Rupee, Iraq ki Dinar aur Italy ki historical currency Lira thi, jise Euro ne replace kar diya. [Q127]
- Thailand ki currency Baht hai; Türkiye ki Turkish Lira, Vietnam ki Dong aur Iran ki Rial hai. [Q128]
- China ki official currency Renminbi hai aur uski unit Yuan hai; Italy ki historical currency Lira thi jise Euro ne replace kar diya, Japan ki currency Yen aur India ki Rupee hai. [Q129]
- Yuan China ki currency hai. [Q130]
- Sudan mein Dinar historical currency rahi aur Sudanese Pound bhi use hota hai; former Yugoslavia mein New Yugoslav Dinar, Tunisia mein Dinar aur UAE mein Dirham currency hai. [Q131]
- Malaysia ki currency Ringgit, Thailand ki Baht, Indonesia ki Rupiah aur South Korea ki Won hai. [Q132]
- Important currency pairs: Mexico—Peso; Austria—historically Schilling, ab Euro; Japan—Yen; Saudi Arabia—Riyal. [Q133]

12. FEMA, FERA & Foreign-Exchange Regulation

- FEMA ke under forex-rule violation criminal offence nahi raha; FERA-1973 ko replace karke FEMA 1 June 2000 se effective hua. Violations generally monetary penalties ke through deal kiye jaate hain, imprisonment-based criminal treatment nahi. [Q134]
- FEMA 1 June 2000 se effective hua. FERA ka scope sirf foreign debt tak limited nahi tha; ye forex payments, foreign exchange/securities transactions aur forex resources ke conservation/regulation ko cover karta tha. [Q135]
- Foreign Exchange Management Act (FEMA) ne 1 June 2000 se FERA ko replace kiya; iska objective external trade/payments facilitate karna aur foreign-exchange market ka orderly development promote karna hai. [Q136]
- FERA ko FEMA ne replace kiya. [Q137]
- FEMA Act 1999 mein pass hua, 2000 se operate karna start hua aur older disputes transition period mein FERA ke under continue hue. External trade/payments facilitate karna aur forex market ka orderly development/stability FEMA ka core objective hai. [Q138]

- Foreign Exchange Management Act (FEMA) 1999 mein enacted/existence mein aaya; iska operational commencement 2000 mein hua. [Q139]
- Goods import ke liye importers RBI-authorized exchange banks/dealers ke through foreign exchange approval obtain kar sakte hain. [Q140]
- FERA se FEMA transition ke baad current-account forex restrictions reduce hue. Foreign Currency Assets end-March 1999 ke US\$38,036 million se badhkar end-March 2001 mein US\$42,281 million hue. [Q141]
- Important Act-year pairs: Minimum Wages Act—1948; Industries (Development and Regulation) Act—1951; MRTP Act—1969; FERA—1973. [Q142]

EXAM TRAP — FEMA: Passed vs Effective Date

- ▶ FEMA 1999 mein pass hua aur FERA ko replace karke 1 June 2000 se effective hua; passing aur effective date separate events hain.
- ▶ FEMA timeline mein 1999 enactment aur 1 June 2000 enforcement ko alag dates ke roop mein note karo.

[Q134–Q142]

13. Hawala, PMLA & Money Laundering

- Hawala official banking/dealer channel ke bahar rupee ke against foreign currency ya foreign currency ke against rupee transfer ka unauthorized system hai. Official forex transactions RBI-authorized dealers ke through hone chahiye; hawala networks black-money transfer ke liye misuse ho sakte hain. [Q143]
- Prevention of Money Laundering Act, 2002 ko 1 July 2005 se enforce kiya gaya. [Q144]
- Money-laundering framework mein financial institutions ke maintained records ko call karne ki power Director of Money Laundering ke paas nahi hoti. Prevention of Money Laundering Act, 2002 legal framework ka core hai aur Act/rules 1 July 2005 se effective hue. [Q145]

14. Monetary Trade Cycle & External-Sector Linkages

- Economist Hawtrey ne trade cycle ki Pure Monetary Theory di. Is theory mein trade cycle ko monetary problem maana gaya aur money-demand flow mein changes ko prosperity aur depression se link kiya gaya. [Q146]
- Forex reserves increase hone se domestic monetary expansion ka direct effect ho sakta hai; India ki industries imported goods aur machinery par significant dependence rakhti hain. [Q147]

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